

How to find this type of property

Like bowerbirds, plenty of first home buyers are drawn to the shiny and new. A splintering weatherboard in a suburb devoid of places you like to hang out in won't cut it. But buying a recently updated home is only rewarding the seller for their hard work and investment, over and above what they spent to achieve that sexy aesthetic that made you fall in love at first inspection.

A rule of thumb is that a quality cosmetic renovation – nothing that involves structural work – should cost about ten per cent of the property's purchase price. I've seen great gains achieved at less than half of that cost. The national average first home mortgage is just over \$327,000, according to 2017 figures from the Australian Bureau of Statistics, so the danger of overcapitalising looms large. If the property requires a completely new kitchen and bathroom, perhaps don't run for your life, but take a step back and consider if you have the long-term patience and the funds. These DIY jobs can become money pits, as hacking into any area with plumbing has the potential for cost blow-outs.

Basic retouches, many of which you can do yourself – including ripping out dated joinery or shelving; adding fresh carpet, wall paint, towel rails, light fittings, cabinet door handles, blinds and a new front door; washing the exterior of the property with a high-pressure hose; and planting out the garden – will instantly add a humble but important boost to your first home's value, in the tens of thousands.

Get a building inspection

You'll need a building inspection to get an idea of the costs involved to add improvements. As an aside, this is a wise check to have done even if you don't want to renovate. A building inspection safeguards against costly defects and nasty fix-it surprises when you move in, and gives an insight as to the true condition of the property, beneath the cosmetic styling for auction day. Consider an inspection necessary for newly constructed homes as much as for older addresses. And if a property was built in or before the 1980s, you'll want to know if there is asbestos. If the building inspector finds parts of the property to be subpar, they can advise about the expert trades and further inspection needed to more deeply investigate or bring the home up to scratch.